



Qualification Programme Examination Panelist's Report

Module 10 – Business and Company Law (June 2022 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Written Questions

General Comments

The paper was three hours in duration and consisted of six questions. The marks allocation among the nine major topics of this examination paper was as follows:

1. Company Law	40%
2. Law for Public Companies	10%
3. The Hong Kong Legal System and Regulatory Authorities	5%
4. Law of Tort and Negligence	10%
5. Law of Contract	10%
6. Law of Consumer Protection	10%
7. Law of Employment	5%
8. Law of Bribery and Corruption	5%
9. Law of Agency	5%

This paper was set on the syllabus prescribed by the HKICPA, which covered the most important business and company law topics. Nonetheless, candidates tended to study popular topics of the syllabus and might not have adequately prepared themselves for the entirety of the syllabus. As such, candidates were often unable to respond to what was required by the questions.

Some questions required candidates to demonstrate their analytical skills by applying legal principles to case scenario with reference to case law and legislation. Few candidates were able to demonstrate the critical and logical reasoning skills required for these questions. This may be one of the primary reasons for poor examination performance for this session.

Candidates performed well on questions that covered popular topics. This can be seen in Question 6, which covered unfair prejudice remedies and the grounds of winding-up.

Candidates also performed well on straightforward questions. This can be seen in Question 5(b), which covered civil law jurisdictions for tribunals and law courts in Hong Kong.



Candidates performed well on short questions which required only factual and descriptive answers, such as Question 3. Candidates performed well in Questions 3(a) and (d), which covered employment and tort laws, as these are popular topics for examination.

Candidates were not well prepared for less popular topics such as the rule of *nemo dat quod non habet*, which can be seen from Question 1(a). Candidate's performance was weaker in less popular topics.

The time management of candidates improved. Only a few candidates were unable to complete all the questions of this paper, although some answers were short or in bullet point format.

Specific Comments

Question 1 – 15 Marks

This question required candidates to discuss the common law rule of *nemo dat quod non habet* and its exceptions under sections 23 to 27 of the Sale of Goods Ordinance (Cap.26) for part (a); and the anti-money laundering law under section 25A of the Organized and Serious Crimes Ordinance (Cap.455) for part (b). Candidates were able to identify the rule and exceptions of *nemo dat quod non habet* but were unable to discuss the rule and exceptions of *nemo dat quod non habet* in detail. Candidates' performance was fair for part (a) and was quite good for part (b).

Question 2 – 20 Marks

This question required candidates to discuss the nature of a debenture and the registration requirement of floating and fixed charges, and the priority between floating charge and fixed charge. Although some candidates confused the registration requirements for debenture and charge, their performance was good in part (a) and comparatively weak in part (b). Some candidates were unable to identify and discuss the nature of the clauses for crystallisation and negative pledge as well as the effect for a charge created within 12 months of the commencement of the winding-up action under section 267 of the Companies (Winding Up and Miscellaneous Provisions) Ordinance (Cap.32) ("CWUMPO").

Question 3 – 20 Marks

This question had four parts and required candidates to discuss the issues of the laws of employment, agency, and tort of negligent misstatement from a short case. Candidates were able to identify and discuss the issues of the question. Overall, candidates' performance was satisfactory.



Question 4 – 10 Marks

This question required candidates to discuss the Codes on Takeovers and Mergers and Share Buy-backs (“Takeover Codes”) issued by the Securities and Future Commission. Candidates are expected to explain that a mandatory offer under Rule 26 (for ordinary share capital) and a comparable offer under Rule 14 (for other classes of share capital) shall be made where a person’s shareholding in the target reaches 30% control trigger. Some candidates discussed the general offer, voluntary offer, and hostile offer for takeover. Yet, they failed to discuss Rules 14 and 26 in detail and explain that the Takeover Codes do not have the force of law. Candidates’ performance was less than satisfactory.

Question 5 – 15 Marks

This question required candidates to discuss the issue of remoteness of damages. The basic rule of damages is that the court can award a just and fair amount that would put the innocent party in the same position as if the contract had been performed. This is governed by case law. Many candidates discussed the law relating to formation and terms of contract, which was not the focus of the question. Very few candidates were able to identify and discuss the rule of damages under the case *Hadley v Baxendale* (1854) for part (a). Candidates’ performance was poor. Part (b) was straightforward and required candidates to discuss civil law jurisdictions for the tribunals and law courts in Hong Kong. Candidates’ performance was good in general.

Question 6 – 20 Marks

This question required candidates to discuss unfair prejudicial remedies for part (a) and the grounds of winding-up for part (b). Candidates’ performance was satisfactory for part (a). Candidates were able to identify the issues of unfair prejudice remedies under section 724 of the Companies Ordinance. Not many candidates were able to use case law such as *O’Neill v Phillips* (1999) to explain that unfairness and prejudice conduct to members must be co-existence. Candidates’ performance was average for part (b) regarding the issues of the company’s ability to pay its debts under section 177(1)(d) of the CWUMPO and the equitable principles for just and equitable winding-up under section 177(1)(f) of CWUMPO.



(II) Conclusion and Recommendation

Overall, candidates performed well in popular topics such as company law. However, candidates might not have sufficiently covered the syllabus in depth and did not perform well in less popular topics. The examination paper aims to cover all topics to test the candidates' ability to apply their legal knowledge in specific situations. As a result, candidates are advised to study beyond popular topics.

Some candidates were weak in identifying the issues of the question. Candidates chose to write what they knew about the topic, and failed to identify and discuss the issues of the question. Candidates are also advised to apply the relevant legal principles to resolve the issues in the questions to score higher marks.

It is good to see improvements in the time management of candidates in the examination, as most candidates were able to complete all the questions of this paper within the prescribed time. Candidates are reminded to make a reasonable attempt to answer all the questions.

Some topics in the syllabus such as company law and contract law are still largely governed by case law. Some candidates were unable to discuss the relevant case law and/ or relevant section in the legislation in a reasonable and logical manner. Candidates are advised to make use of case law and/ or legislation to support their arguments.